basketball team. In addition to being athletic, he was also academically talented; in 1969, he graduated Phi Beta Kappa from the University of Illinois at Urbana-Champaign. He was a go-getter, and a man of diverse talents, simultaneously serving in the US Marine Corps Reserve, and pursuing an MBA at the University of Chicago at night, and subsequently getting his feet wet in the financial industry working in the bond departments of several banks. He had financial aptitude and was a clear up-and-comer. For someone for whom things seemed to come so easily, it was only natural that he eventually landed as a bond trader for Goldman Sachs, one of the most well-known and respected investment banks on Wall Street. But, at that point, things really began to go well for him.

Corzine advanced swiftly through the ranks at Goldman, making partner after a few short years, and becoming co-head of fixed income. He was one of a few early architects of Goldman's aggressive push into the bond trading business, and into Asia, both hugely profitable strategies that allowed Goldman to morph from an investment bank into a trading powerhouse that, in some ways, resembled an immense hedge fund. Corzine continued his meteoric rise, eventually becoming CEO and chairman of the firm, which some might consider to be the zenith of achievement on Wall Street. Corzine was the head banker in a firm full of bankers. Clearly, he had achieved a degree of expertise that was rare in the industry, and had even done so within one of the most competitive firms on Wall Street. Corzine capped his experience at Goldman with a stint as a US senator representing New Jersey, and was also elected as its governor. Clearly, Corzine had leadership skills and sound judgment.

So what on earth happened at MF Global? Was Corzine, the consummate Wall Street insider and expert, somehow to blame? Had he miscalculated in some way? In order to understand what went wrong at MF Global, which was essentially brought down by a bad bond trade, it's necessary to review how securities dealers are financed using the so-called “repo” market, which refers to a type of financing involving repurchase agreements. In a repo transaction, one party sells an asset to a second party at one price, while agreeing to repurchase or “repo” the assets from the second party at another price in the future. If the first party fails to repurchase the securities, the second party then owns the assets. The repo market, sometimes referred to as the *shadow banking system*, has exploded over the past decade, with